Interview Guide: Growth Equity

- Educational Presentation #19 – Venture Capital
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- Property of the ESCP Alternative Investments Society
- Sources: Scaling to $100 Million Bessemer Venture Partner, Growth Equity Guide

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Section I: Industry Fundamentals

Growth Equity Introduction

Venture Capital	Growth Equity	Buyout Private Equity
• Invests in early-stage and emerging companies • Limited operating history with developing financial visibility • Minority ownership positions in growing businesses • No meaningful use of financial leverage • Focus on innovation, product development, and market validation	• Invests in scaling, revenue-generating businesses • Proven operating model with established market traction • Minority ownership positions • Limited or selective use of financial leverage • Focus on accelerating expansion and execution capabilities	• Invests in mature, cash-flowing companies • Stable operating profile with predictable earnings streams • Majority or control ownership positions • Significant and structured use of financial leverage • Focus on operational optimization and value enhancement

Growth equity bridges early-stage venture investing and traditional buyout strategies by backing companies at a proven inflection point and supporting their next phase of expansion

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The Growth Equity landscape Globally (1)

Technology Crossover Ventures	General Atlantic	Parameters	Summit Partners	TA Associates
TCV	GENERAL ATLANTIC	Name	SUMMIT PARTNERS	TA ASSOCIATES
Technology Crossover	Global Growth	Strategy	Growth Buyout	Growth Buyout
$3-300m	$100m-300m+	Deal Size	$10-500m	$100-600m
Technology Focus	Multi-sector Global	Market Focus	Profitable Growth	Five-sector Growth
$25bn	$123bn	AUM	$44bn	$65bn

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The Growth Equity landscape Globally (2)

Insight Partners	Francisco Partners	Parameters	Vista Equity partners	One Peak
INSIGHT PARTNERS	F|P FRANCISCO PARTNERS	Name	VISTA	ONE PEAK
Software Growth	Tech Growth	Strategy	Growth Buyout	Tech Growth
$20-500m+	$100m-1bn+	Deal Size	$200-2bn+	$15-150m
Software Focus	Tech-focused Global	Market Focus	Multi-sector global	Software Focus
$90bn	$50bn	AUM	$107bn+	$4bn

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The Growth Equity landscape in Europe

Eurazeo	Verdane	Parameters	Vitruvian Partners	Noteus Partners
EURAZEO	verdane	Name	VITRUVIAN PARTNERS	Noteus Partners
Growth	Growth	Strategy	Growth Buyout	Growth
$20-200m	$20m-160m+	Deal Size	$40-650m+	$50-300m
Technology & Healthcare	Software Focus	Market Focus	Technology Services	Software Focus
$39bn	$9.5bn	AUM	$22bn	$450m

Growth Equity Recent Transactions (1)

Selected transactions

Company	Deal Size	Sector	Date	Credit Product
Helsing	$694m	Defense	June 2025	Series D
OpenAI	$100bn	AI	February 2026	n.a.
ElevenLabs	$180m	AI	January 2025	Series C
ANTHROPIC	$30bn	AI	February 2026	Series G
databricks	$5bn	AI	February 2026	Series L

These transactions highlight the accelerating momentum in growth equity markets, with investors deploying significant capital into scaling companies across AI, enterprise software, fintech, and digital infrastructure

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Growth Equity Recent Transactions (2)

Selected transactions

Company	Funding Amount	Sector	Date	Series
xAI	$20bn	AI	January 2026	Series E
scale	$14.3bn	AI	June 2025	Series G
WAYVE	$1.5bn	AV	February 2026	Series D
ANDURIL	$2.5bn	Defense	June 2025	Series G
Anysphere	$2.3bn	AI	November 2025	Series D

These transactions highlight the accelerating momentum in growth equity markets, with investors deploying significant capital into scaling companies across AI, enterprise software, fintech, and digital infrastructure

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Recent Growth Equity Deal in Detail (1)

Start-up

Helsing

Founders
- Torsten Reil (Co-CEO)
- Gundbert Scherf (Co-CEO)
- Nikolas Köhler (CPO & president)

Founded
- Year: 2021
- Headquarted in Munich, Germany
- Operations in UK, France and Estonia

What the firm does
- Leading European Defense tech company building AI-powered software and hardware for democratic militaries
- Real-time battlefield analysis, and AI for drones and autonomous systems
- Covers all domains (air, land, sea, space, cyber) with ethical AI focus

Why they raised money
- Accelerate R&D and scale autonomous defense systems across Europe.
- Strengthen Europe's technological sovereignty amid rising geopolitical tensions

Investors / Round Size / Rationale

PRIMA MATERIA

Investors
- Led by **Prima Materia** (Daniel Ek's VC firm)
- Existing: Lightspeed ventures, Accel, General Catalyst, SAAB.
- New: BDT & MSD Partners.

Round Size
- $694 million Series D
- Post money valuation: $12 billion

Investment Rationale (General)
- Accelerate in all domain defense innovation (AI Software, Autonomous drones, integrated systems)
- Strengthen Europe's technological sovereignty and security among rising geopolitical tensions
- Scale R&D, expanding operations across Europe, and reduce reliance on non-European tech

Recent Growth Equity Deal in Detail (2)

Start-up	Investors / Round Size / Rationale

IIElevenLabs

Founders
- Mati Staniszewski (CEO)
- Piotr Dąbkowski (CTO)

Founded
- Year: 2022
- Headquarted in London, UK
- Operations in New York, Poland and other locations

What the firm does
- Leading AI voice and audio company specializing in natural text-to-speech, voice cloning, and generative audio
- Provides tools for creators, publishers, and enterprises (e.g., dubbing, audiobooks, customer service, and localization) with a focus on high-quality, ethical voice AI

Why they raised money
- Advance AI audio research, developing more expressive and controllable models.
- Expand developer and business tools for global scaling and enterprise adoption.
- Strengthen AI safety features for responsible voice generation and use
- Accelerate product innovation to meet growing demand for voice-centric digital interactions

andreessen horowitz ICONIQ

Investors
- Co-Led by **a16z** and **INONIQ Growth**
- Existing: Sequoia Capital, Salesforce ventures, Smash Capital, SV Angel, NFDG, BroadLight Capital.
- New: NEA, WiL, Valor, Endeavor Catalyst Fund, Lunate

Round Size
- $180 million Series C
- Post money valuation: $3.3 billion

Investment Rationale (General)
- Leading position in ultra-natural, expressing voice AI with massive adoption.
- Explosive growth and clear product-market fit in voice as being the next big AI interface
- Elite team delivering fast, high-quality breakthroughs in controllable & ethical TTS/voice cloning
- Opportunity to lead voice-driven digital experiences, spanning multilingual capabilities, multimodal integration, and enterprise-grade APIs

Recent Growth Equity Deal in Detail (3)

Start-up

Black Forest Labs

Founders
- Robin Rombach (CEO)
- Patrick Esser (Co-Founder)
- Anders Blattman (Co-Founder

Founded
- Year: 2024
- Headquarted in Freiburg, Germany
- Operations in Germany, United States of America and UK

What the firm does
- Develops state-of-the-art text-to-image and image-editing AI models
- Offers models via API, open weights, and self hosting, with integration across platforms (e.g., Grok, Adobe, Canva, Meta.
- Focuses on high-quality, controllable, and accessible visual AI for developers and enterprises.

Why they raised money
- Build large-scale compute infrastructure to train and deploy advanced models.
- Scale R&D for next-generation Flux models.
- Expand global enterprise and developer API adoption.

Investors / Round Size / Rationale

salesforce ventures AMP

Investors
- Co-Led by **Salesforce Ventures** and Anjney Midha (AMP)
- Existing: a16z, NVIDIA, Northzone, Creandum, Earlybird VC, BroadLight Capital, General Catalyst.
- New: Temasek, Bain Capital Ventures, Air Street Capital, Visionaires Club, Canva, Figma Ventures.

Round Size
- $300 million Series B
- Post money valuation: $3.25 billion

Investment Rationale (General)
- Strong market traction and distribution, with models already integrated into platforms such as Grok, Adobe, Canva, and Meta.
- Backing a top-tier visual team (creators of Stable Diffusion) building high-performance FLUX models with strong quality, speed, control, and prompt accuracy.
- Opportunity to build “visual intelligence” systems, combining generation, understanding, and reasoning in visual AI.

Section II: Key Metrics & Technicals

Key Valuation Metrics: ARR & CARR

The core revenue metrics investors use to price businesses

Annual Recurring Revenue - ARR

- Annualized value of recurring software contracts active at a point in time
- In private cloud markets, ARR is the primary metric used to determine valuation

Enterprise Value ≈ ARR × Multiple

Committed ARR - CARR

- Signed but not yet live contracts which capture near-term pipeline visibility
- Especially useful in long implementation cycles, often a better indicator of revenue growth rather than ARR alone

CARR = Future Committed ARR

Growth Rate

- The growth rate of ARR matters almost as much as the absolute size or level of ARR itself
- Investors pay higher multiples for higher sustained growth
- Growth is a proxy for product-market fit, sales efficiency, and market leadership

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Recurring Revenue Metrics 1/2

- Why do recurring revenue metrics matter for the performance evaluation of SaaS companies?
- Since these companies operate on a subscription model, recurring revenue is the best indicator of their size and growth.
- To ensure consistency, it is typically reported on a monthly or annual basis, depending on the most common contract length among customers.



MRR (Monthly Recurring Revenue)

- Represents the recurring revenue from all subscription contracts, normalized on a monthly basis
- MRR is always equal to one-twelfth of Annual Recurring Revenue (ARR)
- One-time revenues are excluded to maintain a clear and consistent measure of predictable income

ARR (Annual Recurring Revenue)

- Represents the recurring revenue from all subscription contracts, normalized on an annual basis
- ARR is always equal to 12 times Monthly Recurring Revenue (MRR)
- One-time revenues are excluded to maintain a clear and consistent measure of predictable income, as for MRR

➢ In practice, ARR is calculated as the previous month's MRR multiplied by 12

Recurring Revenue Metrics 2/2

The Components of Recurring Revenue

Metric	Description
Retained ARR	Recurring revenue that continues from existing customers from the previous period
Contraction ARR	Recurring revenue lost due to customers downgrading their contracts from the previous period
New Sales ARR	Recurring revenue acquired from new customers in the current period
Churned ARR	Recurring revenue lost as a result of customers fully cancelling their contracts from the previous period
Resurrected ARR	Recurring revenue regained from former customers who have re-subscribed
Expansion ARR	Additional recurring revenue generated from existing customers compared to the previous period (Cross- or Upselling)

Recurring Revenue at the Account or User Level



ARPR

Average Revenue Per Account:
Measures the average recurring revenue per customer account. It can be reported monthly, quarterly, or annually



ARPU

Average Revenue Per User:
Similar to ARPA but calculates revenue per individual user, considering that one account may have multiple users. In consumer software, ARPA and ARPU are often the same

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ARR Growth & Growth Endurance

How ARR growth rate and endurance shape valuation, risk, and long-term scalability

ARR Growth

- It shows stable, repeatable income, not only one-time sales

ARR Growth = Year-over-Year % increase in recurring revenue

Why this matters:
Higher ARR growth reduces investor risk faster and drives higher valuations, as investors pay more today when they expect ARR to double or triple soon.

Example

- Company A makes 10M ARR and investors value it at $200M
- Their valuation is at 20x ARR → expensive
- If Company A now grows 100% it will have $20M ARR
- At the same valuation of $200M, investors then paid only 10x ARR instead of the 20x

Growth Endurance

- It shows how much of the growth rate the company "kept" compared to last year and how sticky is their momentum

Growth Endurance = Current Year Growth ÷ Prior Year Growth

Why this matters:
Strong growth endurance sustains investor confidence and supports higher valuations, as investors pay more for businesses that can compound ARR consistently over time.

Economics of Private Equity

- On average, public cloud companies, keep about 80% of their growth rate from one year to the next.
  - YoY: 150% → 120% → 96% → 77%
- Because small differences in endurance create huge differences over time.
  - 80% E → $100M ARR In 6 years
  - 70% E → $100M ARR In 12 years

Sales & Marketing as % of Revenue

S&M is the number 1 OpEx

95%	70%	70%	60%	50%
of revenue	of revenue	of revenue	of revenue	of revenue
$1-10M	**$10-25M**	**$25-50M**	**$50-100M**	**$100M+**

Key Insights:

Why S&M stays high	Salespeople and marketing talent scale linearly with revenue - unlike R&D or G&A, you cannot get away with fewer sales reps as you grow.
What Matters	High S&M must be justified by ARR generated. S&M efficiency = capital efficiency. Without it, no rational burn rate is possible.
Case Study	Adaptive Insights spent ~90% of revenue on S&M at <$20M ARR. Even when acquired by Workday in 2018 at $100M+ ARR, S&M was still ~70% of revenue.

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Average Benchmarks by ARR Scale

All average benchmarks across 5 ARR buckets — Bessemer Venture Partner's cloud portfolio 2010–2021

Metric	$1-10M	$10-25M	$25-50M	$50-100M	$100M+
ARR Growth Rate	200%	115%	95%	60%	60%
Net Retention	140%	120%	120%	120%	120%
Gross Retention	85%	85%	90%	90%	90%
Gross Margin	70%	70%	65%	65%	70%
S&M % Revenue	95%	70%	70%	60%	50%
R&D % Revenue	95%	50%	45%	30%	35%
G&A % Revenue	70%	40%	30%	20%	20%
CAC Payback (Mo)	15	24	20	21	30
FCF Margin	-230%	-80%	-65%	-40%	-35%
Cash Conv. Score	0.5x	0.5x	0.6x	0.8x	1.0x

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CAC Payback: The Sales Efficiency Indicator

CAC Payback = Prior Quarter S&M Expense ÷ (Net New MRR × Gross Margin)

15 mo	24 mo	20 mo	21 mo	30 mo
avg payback	avg payback	avg payback	avg payback	avg payback
$1-10M Series A/B	$10-25M Series B/C	$25-50M Series C	$50-100M Series C/D	$100M+ Series D+

Segment Targets: SMB < 12 months · Mid-Market < 18 months · Enterprise < 24 months

CLTV / CAC Rule: Invest in customer acquisition only when CLTV/CAC ≥ 3x. Below that, refine unit economics first. Only after payback period expires do customers become profitable.

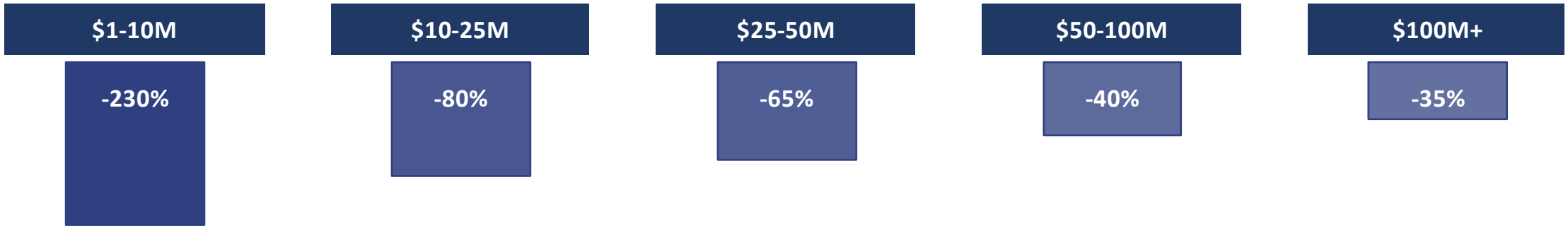
Why it increases at scale: Early adopters are cheapest to acquire. As you mature, you compete for harder-to-win customers with more spend. But $100M+ companies unlock proven GTM models that justify the cost.

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Free Cash Flow Margin: Burn with Purpose

Tracks how much cash a company burns relative to revenue — and whether that burn is justified by the growth it generates.

FCF Margin = Free Cash Flow ÷ Revenue | FCF = Revenue − COGS − OpEx − CapEx + Non-Cash − ΔNWC



← Burn Decreases as ARR Scales → (Path to FCF Breakeven)

Top Quartile at IPO : Best-in-class companies, Atlassian, JFrog, Zoom, were already at FCF breakeven (0%+) at IPO. This signals strong capital discipline and operating leverage.

The Snowflake Exception : Snowflake burned >$100M at IPO but grew revenue by $170M+ (>170% YoY). When growth justifies the burn, high FCF deficit is accepted. Growth > Profitability — at the right stage.

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Efficiency Score & Rule of 40

The Efficiency Score sums ARR growth and FCF margin

Efficiency Score = FCF Margin (%) + ARR YoY Growth Rate (%)

"Good" (Rule of 40)	Bessemer Venture Partners Average	Best-in-Class
40%+	**ca.50%**	**70%+**
Long-cited benchmark. Minimum acceptable for most investors	Real-world average of BVP Nasdaq Emerging Cloud Index companies	Shopify at $3.8B revenue: ~60% growth + 10% FCF = 70% score

Only meaningful at $25M+ ARR, below that, revenue base too small for the ratio to be reliable

BVP Portfolio Targets by Stage:

- **$25 - 50M ARR:** Target 70% efficiency score
- **$100M+ ARR:** Target 50% (growth rate declines, focus shifts to profitability balance)

Shopify Case Study:

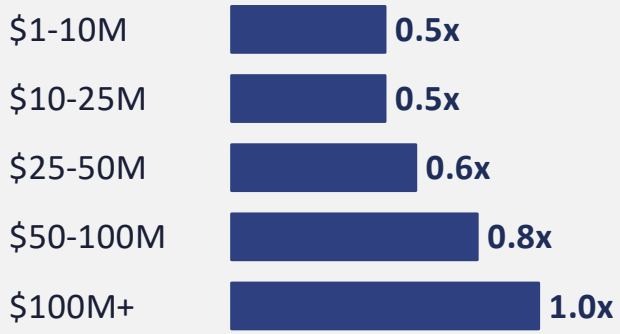
Even at $3.8bn+ LTM revenue, Shopify still hits ~70% efficiency score: 60% YoY growth + 10% FCF margins (Proof that category leaders sustain elite efficiency at massive scale)

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Cash Conversion Score & Valuation Multiples

Tracks how much ARR a company generates per dollar of net capital deployed and what growth-stage investors are willing to pay for it

Cash Conversion Score (CCS)



CCS = ARR ÷ (Capital Raised – Cash)

Zapier: Best-in-Class CCS

Raised only $1.3M total — announced $140M ARR in 2021. CCS far exceeds 1.0x. Proof that capital efficiency compounds.

ARR Valuation Multiples

30x
$1-10M ARR (decade avg)

15x
$10M+ ARR (decade avg)

By Industry (BVP decade avg):

33x
Fintech

29x
Security

27x
Data Infra

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Round Size & Dilution: More Capital, Less Ownership Sold

As ARR proves itself, companies raise larger rounds, but give away less equity per dollar, because valuation grows faster than capital needs

Series A/B	*Series B/C*	*Series C*	*Series C/D*	*Series D/E*
$20M	**$30M**	**$55M**	**$75M**	**$150M**
avg round	avg round	avg round	avg round	avg round
ca.20% dilution	**ca.17%** dilution	**ca.15%** dilution	**ca.10%** dilution	**ca.5%** dilution

Round size grows
$20M → $150M (linear increase)

Dilution falls
~20% → ~5% (valuation grows faster than capital needs)

ARR buckets grow non-linearly (10x from $10M → $100M), but round sizes increase only linearly ($30M → $75M). Larger companies are not raising proportionally bigger rounds, so access to capital gets easier, but discipline over dilution is rewarded.

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Section III: Interview Question

Preferred Stock & Liquidation Preference

Term Sheet Mechanics - Equity Structure

Q1:	What is preferred stock and how does it differ from common?

Answer:

- Preferred stock is a class of equity that has priority over common shares in the event of a liquidation or exit.
- Unlike common shareholders, preferred investors typically have a liquidation preference, meaning they recover their investment (often a multiple) before common shareholders receive anything.
- Preferred shares are usually convertible into common, allowing investors to participate in upside if the company performs well.

Q2:	How does a 2x liquidation preference work on a $1M investment?

Answer:

- A 2x liquidation preference means the investor must receive 2x their invested capital before common shareholders receive any proceeds. (e.g. on a $1M investment, the investor is entitled to $2M first at exit)
- Non-participating preferred: investor takes either the $2M preference or converts to common and shares pro-rata.
- Participating preferred: investor takes the $2M preference and shares the remaining proceeds pro-rata with common.

Key Insight:
GE norm is non-participating preferred, less punitive to founders. Participating preferred is more common in earlier-stage VC deals.

Difficulty: ★☆☆

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Anti-Dilution Provisions

Mechanisms designed to protect investors from ownership dilution and unwanted cap table changes

Q1: What is the difference between a right of first refusal (ROFR) and a co-sale agreement?

Answer:

- A ROFR gives investors the right to purchase a founder's shares before they can be sold to an outside party, allowing them to prevent unwanted third parties from entering the cap table
- A co-sale agreement gives investors the right to sell their shares alongside the founder on the same terms, allowing them to exit at the same time and price
- The key difference is the goal: ROFR is about blocking outside buyers, while a co-sale agreement is about joining a sale

Q2: What is the difference between a full ratchet provision and a weighted average provision?

Answer:

- A full ratchet provision protects early investors and their preferred ownership stakes in the case of a down-round
- An investor will be re-priced to the lowest price at which any new preferred stock is issued
- The weighted average provision also adjusts the conversion price in a down round, but factors in the size of the new issuance, resulting in a fairer, less severe dilution.

Key Insight:
ROFR and co-sale control who can sell and to whom, while anti-dilution provisions protect the value of what investors already own.

Difficulty: ★☆☆

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Up-Round, Down-Round & Dilution

Understanding how funding rounds affect company valuation and ownership stakes

Q1: What is the difference between an up round and a down round?

Answer:

- Up Round: when post-financing, the valuation of the company raising additional capital increases compared to its previous valuation
- Down Round: refers to when the valuation of a company decreases after the financing round

Q2: When could dilution be beneficial for the founder and existing investors?

Answer:

- Dilution can be beneficial when it occurs in an up round:
- A founder owns 100% of a startup worth $5M. In the seed round, the company is valued at $20M and angel investors take 20% of the company
- The founder's stake drops from 100% to 80%, but their actual value grows from $5M to $16M
- A smaller slice of a much bigger pie is worth more than a larger slice of a smaller one

Key Insight:
Dilution is not always negative, what matters is not the size of your stake, but the value behind it

Difficulty: ★★☆

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Horizontal vs. Vertical SaaS

Business Model Analysis

Q1:	What defines horizontal SaaS and what are its trade-offs?

Answer:

- Targets one function across all industries (e.g. Salesforce for CRM).
- Huge TAM but fierce competition and high S&M spend.
- Churn can be higher, buyers have more alternatives.

Q2:	Why is vertical SaaS often attractive for GE?

Answer:

- Purpose-built for one industry (e.g. Veeva for pharma, Toast for restaurants).
- Lower churn: deeply embedded in industry workflows, high switching costs.
- Need credible second-act expansion story to justify venture-scale valuation.

Key Insight:
Vertical SaaS tends to have more efficient CAC and higher NRR, but is there a real expansion path in vertical Sass beyond the core market?

Difficulty: ★★☆

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Management Diligence Questions

Diligence Process

Q1:	What do you assess about the team itself?

Answer:

- Have they scaled through this exact stage before? Track record matters.
- Is the org complete , meaning CFO, VP Sales, VP Engineering all in seat?
- Are they the right people to take this to IPO or acquisition?

Q2:	What strategic questions do you ask management?

Answer:

- 3–5 year financial targets and the assumptions behind them.
- Where is growth being left on the table, white space, new geos, adjacent products?
- Top 2–3 revenue drivers, biggest risk to each, and exact use of proceeds.

Key Insight:
The best management diligence question: 'What would have to be true for you to miss your plan?' → it reveals assumptions & self-awareness

Difficulty: ★☆☆

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Downside Protection in Growth Equity

Risk & Structural Protections

Q1:	How is GE structurally safer than VC or PE?

Answer:

- vs. VC: invests in proven revenue — far less binary, no product-market fit bet.
- vs. PE: zero leverage, so no debt service spiral risk in a downturn.
- Minority stakes keep founders incentivized; no forced operational overhaul.

Q2:	What contractual protections does GE rely on?

Answer:

- Preferred equity + liquidation preference: capital recovery priority.
- Anti-dilution provisions: protection against down rounds.
- Redemption rights: exit mechanism if company stalls indefinitely.

Key Insight:
Sweet spot: floor is higher than VC (no zero outcomes from pre-revenue bets), ceiling is higher than PE (no leverage cap on returns). The risk profile is genuinely distinct.

Difficulty: ★☆☆

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SaaS Revenue & Cost Structure – Part 1

Financial Analysis - Revenue Structure

Q1:	How would you compute Revenue from the ARR?

#	Step	Description	Formula / Note
1	Gather Beginning ARR	The annualized value of all active recurring contracts at the start of the period.	Beginning ARR
2	Build the ARR Bridge	Track all movements during the period: new logos signed, expansions/upsells, churned customers, and contractions/downgrades.	Beg. ARR + New Logos + Expansions – Churn – Contractions
3	Derive Ending ARR	Sum all ARR bridge components to get the ARR at end of period (e.g., Dec 31).	Ending ARR = Beg. ARR ± Net Changes
4	Compute Monthly ARR (MRR) Build	Divide each month's ARR snapshot by 12 to get the MRR earned that month. New ARR added mid-month contributes only a partial month.	MRR (Month n) = ARR at start of Month n ÷ 12
5	Sum MRR Across All Months	Add up recognized MRR for each month in the period. This is the most precise method.	Revenue = Σ MRR (Month 1 through Month 12)
6	Quick Approximation	For back-of-envelope math, use the simple average of Beginning and Ending ARR. This works because ARR changes roughly linearly.	Revenue ≈ (Beg. ARR + End. ARR) ÷ 2

Key Insight:
In fast-growing SaaS companies, revenue understates ARR, which is why investors anchor valuations on forward ARR or NTM revenue multiples rather than LTM revenue.

Difficulty: ★★★

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SaaS Revenue & Cost Structure – Part 2

Financial Analysis - Cost Structure

Q1:	What are the 4 cost buckets and their typical % of revenue?

Cost Item	% of Typical SaaS Revenue	Content
COGS (Cost of Goods Sold)	15–30%	Hosting/cloud (AWS, GCP), customer support, Customer Success, license tiers
R&D (Research & Development)	20–35%	Engineer salaries, DevOps, CTO. Partial capitalization under IFRS.
Sales & Marketing	25–40%	Sales reps, SDRs, digital marketing, events. CAC = S&M / Number of new customers
G&A (General & Administrative)	8–15%	General management, CFO, accounting, legal, HR, offices
TOTAL OPEX	70–90%	Sum of R&D + S&M + G&A (excl. COGS)

Key Insight:
In SaaS, the business model is built on high growth margin and heavy upfront investment in growth (S&M) and product (R&D)

Difficulty: ★★★

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